Broker Responsibility Guide

How to Meet TREC Requirements

EMPLOYMENT OR WORK AGREEMENT

TEXAS REALTORS®

Employment or Work Agreement

Why does this need to be in my manual?

Employment or Work Contract: A broker's written policies and procedures manual should include information regarding the employment or work agreement. Although TREC ("Texas Real Estate Commission") Rule 535.2(m) does not create or require an employer/employee relationship between a sponsoring broker and sales agent, it is essential that a sponsoring broker have a written agreement with all license holders affiliated with the broker whether that relationship is as an employee or independent contractor.

What do I need to know?

Texas REALTORS® provides an independent contractor agreement for brokers to use with sales agents.

Independent Contractor Agreement for Sales Associate* (TXR 2301)**: If the broker chooses the independent-contractor business model for affiliated license holders, the ***Independent Contractor Agreement for Sales Associate (TXR 2301) is designed to create this type of agent affiliation with the broker.

***Statement of Understanding* (TXR 2302)**: Designed to be used in conjunction with TXR 2301, the ***Statement of Understanding* (TXR 2302)** should be executed annually, as it reconfirms the independent contractor relationship.

What if I don't use forms TXR 2301 or TXR 2302?

If a broker chooses not to use TXR 2301 and 2302, the broker should at least consider the following items for purposes of a written agreement. These may also be addressed in a broker's written policies and procedures manual.

Terms of an Agreement: The terms of an agreement will establish the kind of the relationship between the broker and the license holder and discusses supervision of the license holder and any assistants (licensed or unlicensed). The broker is ultimately responsible for the actions of anyone in the firm, and the broker has the authority to terminate anyone in the firm. All listings, contracts, service agreements, etc. are the property of the broker or firm.

Items to Address in a Written Employment or Work Agreement:

- Independent contractor or employee status
- Personal assistants (licensed or unlicensed). An unlicensed assistant is prohibited from performing licensed activities. The broker (and/or license holder) who engages any assistant to

© 2019 Texas Association of REALTORS®, Inc. All rights reserved.

work for the firm is fully responsible for all acts of the assistant
- Policies regarding teams and groups
- Ownership of listings, contracts, property management agreements, etc.
- Rules regarding the sale or lease of a license holder's personally owned real property

Termination: There are many reasons for a broker to sever his or her relationship with a license holder or vice versa. Therefore, a broker may have slightly different procedures regarding such termination and how it relates to the disposition of unfinished transactions and compensation. If the broker does not use TXR 2301 and 2302, here are some issues to consider for inclusion in the broker's written policies and procedures:

- Disposition of service agreements such as listing agreements, buyer's representation agreements, and property management agreements
- Disposition of contracts
- Handling of unpaid expenses
- License holder requested release to transfer to another firm

License holder selling, purchasing, or leasing personally owned real property: A broker should establish written policies and procedures that lay out clear guidelines for affiliated license holders in the following situations:

- License holders purchasing listings of the firm on their own account
- License holders purchasing properties not listed with the firm on their own account
- License holders selling their own properties
- License holders leasing their own properties

Aside from any fee or commission that must be paid to the brokerage, the broker's written policies and procedures should address:

- Requirement for prior authorizations of broker
- Use of company tools and facilities
- Compliance with regulatory disclosures
- Errors & omissions insurance coverage for personal transactions
- Whether property is the license holder's personal residence vs. investment property

Board/Association Membership: The broker's written policies and procedures should also address the need for the for affiliated license holders to maintain membership in the National Association of REALTORS®, Texas REALTORS®, and the local association of REALTORS®. Membership in the association also may require additional membership requirements, such as the multiple listing service (MLS).

© 2019 Texas Association of REALTORS®, Inc. All rights reserved.